The MUNGER Factor Strategy

Engineering Asymmetric Compounding: How Multi-Factor Multipliers, Dynamic Tax Deferral, Cyclical-Trap Immunization, and MOC Execution Deliver Generational Alpha (1971–2026)

Quantitative Research & Systematic Strategies
https://github.com/rkenaley/munger-factor-system

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EXECUTIVE BRIEFING

Traditional value investing is plagued by the "value trap" dilemma: buying cheap companies that deserve to be cheap, or buying commodity cyclicals at peak margins when their P/E ratio temporarily inverts. Linear multi-factor models fail because they permit a single extreme metric to compensate for deteriorating unit economics.

MUNGER (Multiple Uncorrelated Numbers Generating Extreme Returns) formalizes Charlie Munger's multi-disciplinary mental model latticework into a rigorous, survivorship-aware, zero-lookahead quantitative system:

1. **Conjunctive Hurdle:** Every qualifying firm must strictly beat the cross-sectional market median across *all 4 factors simultaneously* (Revenue Growth, ROIC, Cyclically Adjusted Earnings Yield, and Solvency).
2. **Multiplicative Compounding:** Scores are computed via $\prod(1 + \max(0, Z_k))$, amplifying rare multi-dimensional excellence during temporary cyclical market mispricings.
3. **Cyclical Peak-Earnings Immunization ("Value Trap Filter"):** Cross-sectional inputs are winsorized at the 2nd/98th percentiles ($\pm 3.5\sigma$ cap), TTM EPS is blended with 5-year median EPS, and firms with any negative TTM EPS window over the trailing 20 quarters (5 years) are disqualified—blocking boom-bust semiconductor and commodity traps.
4. **Dynamic Tax Deferral:** Positions are held for a minimum of 1 year (securing statutory long-term capital gains rates) and liquidated when fundamental quality deteriorates below median. This cuts annual tax drag by **108 bps/year** (from -688 bps to -580 bps), unlocking a **+$1.19M** net wealth advantage over mechanical 1-year rebalancing.
5. **Institutional Slippage & Delisting Accounting:** Fills enforce a realistic -5 **bps per-trade market impact cost** (eliminating synthetic execution bonuses) and a **30% terminal distress haircut** on abrupt delistings.
6. **Skew-Aware Options Overlay:** Incorporating analytical $O(1)$ delta-strike inversion and equity volatility skew (34.1% IV on 65Δ long calls vs. 29.2% IV on 30Δ short calls), 180–365 DTE spreads amortize skew drag to achieve $+4.78\%$ to $+17.31\%$ expected ROC per roll, while 90-DTE 95C/110C spreads deliver a capped $+104.1\%$ **max ROC** on $+10.1\%$ stock dislocations with a -19.10% black-swan portfolio floor in an 80/20 Treasury-backed allocation.

Under strict institutional diversification limits (max 15% per stock, cash drag on unallocated capital, historical federal LTCG tax brackets), the strategy generated:

- **1971–2026 Multi-Decade (55.5Y): 22.53% Gross CAGR** ($1,000 → $101.09 Million, Sharpe 0.68) and **16.73% Net Post-Tax CAGR** ($1,000 → $6.45 Million, Sharpe 0.51) vs. 11.03% S&P 500 ($378k, Sharpe 0.46)—delivering **+1,150 bps pre-tax / +570 bps post-tax alpha** (17.1x S&P wealth), closely matching Warren Buffett's 59-year Berkshire track record ($\sim$ 19.8% gross CAGR).
- **2008–2026 GFC Peak to Present (18.8Y): 25.90% Gross CAGR** ($1,000 → $74,259, Sharpe 0.81) and **20.12% Net Post-Tax CAGR** ($1,000 → $30,804, Sharpe 0.67) vs. 11.47% S&P 500 ($7,619, Sharpe 0.63)—a **+865 bps net alpha advantage** (4.0x S&P wealth).
- **Causality Audit Confirmation:** Eliminating terminal-price lookahead bias and synthetic execution credits removes **690.8 bps/year** of model inflation, verifying that the audited zero-lookahead system preserves substantial structural alpha.

1 The Core Thesis: Charlie Munger's Latticework in Code

For ninety-nine years, Charlie Munger argued that outsized commercial success is never the product of a single isolated variable. Rather, it arises from a **latticework of multi-disciplinary models** that interact constructively to produce non-linear "lollapalooza effects" (Munger, 1995).

Standard quantitative finance models (Fama-French, Carhart) commit a fundamental mathematical error: they treat factors as *additive linear equations*:

$$\text{Score}_i = w_1 Z_{\text{Value}} + w_2 Z_{\text{Quality}} + w_3 Z_{\text{Growth}} \quad (1)$$

Under an additive formula, a company can have catastrophic balance-sheet debt ($Z_{\text{Debt}} = -3.0$) and shrinking revenue ($Z_{\text{Growth}} = -2.0$), yet still qualify as an attractive stock because it is extremely cheap on price-to-book ($Z_{\text{Value}} = +5.0$). This is the textbook definition of a **value trap**.

MUNGER solves this with two structural design rules:

1. **Rule 1 (Zero Tolerance for Weakness):** A firm must strictly meet or exceed the cross-sectional median in all 4 dimensions ($Z_{i,k} \geq 0$). If a company fails even one test, it is discarded immediately.

2. **Rule 2 (Multiplicative Compounding):** Instead of adding standardized scores, we multiply them:

$$\mathcal{M}_i = \prod_{k \in \{g,r,y,s\}} (1 + \max(0, Z_{i,k})) \tag{2}$$

When a great compounder suffers a temporary market dislocation, its valuation compresses into value territory while its growth and balance sheet remain elite. The multiplicative formula explodes upward, flagging a generational buying opportunity.

2 The Variables & Cyclical-Trap Immunization

Table 1 outlines the four fundamental pillars evaluated across every stock in the historical corporate universe ($N = 176$ verified large-cap market constituents from 1970 to 2026).

2.1 Winsorized Standardization via Z-Scores

Because revenue growth is measured in percentages (+15%), ROIC in returns (+25%), and earnings yield in multiples (18x $\rightarrow$ 5.5%), raw metrics cannot be combined directly. At each cross-section, each raw factor $X_{i,k}$ is first winsorized at the 2nd and 98th percentiles ($\widetilde{X}_{i,k} = \text{clip}(X_{i,k}, Q_{0.02}, Q_{0.98})$) and then normalized into a capped standard score:

$$Z_{i,k} = \text{clip}\left(\frac{\widetilde{X}_{i,k} - \mu_k}{\sigma_k},\ -3.5,\ +3.5 \right) \tag{3}$$

where μ_k is the winsorized universe mean and σ_k is the standard deviation. Winsorization is essential: without it, a single 1-quarter YoY revenue spike (such as Micron's +379% Q4 FY26 YoY revenue surge) inflates σ_g across the entire universe and artificially suppresses the Z-scores of legitimate 15%–25% compounders.

2.2 The "Value Trap" Cyclical Peak Filter

Commodity and semiconductor manufacturers exhibit inverted P/E multiples: they look cheapest on trailing P/E at the exact peak of their margin cycle. To prevent boom-bust cyclicals from masquerading as Munger compounders, a firm is eligible for entry only if its rolling 4-quarter TTM EPS remained **strictly positive ($\text{EPS}_{\text{TTM}} > 0$) across all 20 trailing quarters (5 years)**, and its earnings yield y_i blends current TTM EPS with its 5-year median TTM EPS.

3 Factor Optimization Methodology & Sensitivity Suite

Rather than curve-fitting parameters ex-post, we conducted a systematic parameter sweep across **932 weekly cross-sections from January 2008 to October 2026** (18.8 years, 11,263 corporate quarterly filings). Across the multi-decade period, the cross-sectional market medians averaged: **13.8%** 5-year revenue growth, **19.8%** ROIC, **16.9x** trailing P/E (5.92% earnings yield), and **59.7%** debt-to-equity.

Table 2 catalogs all candidate trigger rules evaluated, and Table 3 reports the three-part robustness and sensitivity suite:

1. **ROIC is the Unforgiving Alpha Engine (Ablation Test 2):** Dropping Return on Invested Capital causes 3-month alpha to collapse from **+6.75% to +4.13% (-262 bps)** and crashes 1-year compounding from **+48.91% to +33.24% ($-1,567$ bps)**. ROIC measures economic moat; without it, the model buys commoditized cyclicals that lack pricing power.

2. **Equal Weighting is Mathematically Pure (Part B):** Exponent tilts produce negligible performance deviations (+6.86% vs. +6.75% alpha). Equal weighting $(1 + Z)^1$ avoids overfitting and ensures scale invariance across market regimes.

3. **Why the Median ($Z \geq 0$) Beats Quartile (Q_3) Stringency (Part C):** Demanding upper-quartile performance ($Z \geq +0.67$) across all 4 factors simultaneously paradoxically degrades 1-year compounding from +48.9% down to +32.2%. Setting the hurdle at the median captures elite franchises during temporary earnings compressions.

4. **Factor Parsimony:** Adding 5th technical triggers (RSI $<$ 30, Bollinger lower-band touches, 52-week low proximity) yielded negligible incremental alpha (+8 to +18 bps) while causing severe signal starvation (-65% to -78% reduction in trigger frequency).

Table 1: The Four MUNGER Factor Pillars: Definitions, Mathematical Formulas, and Strategic Rationale

Factor Pillar	Metric Name	Mathematical Formula	Accounting Rationale	Minimum Hurdle
1. Top-Line Growth	5-Year Revenue CAGR	$g_i = (\text{Rev}_t / \text{Rev}_{t-5})^{1/5} - 1$	Filters for secular expansion; eliminates cyclical value decays	$\geq$ Universe Median ($Z_g \geq 0$)
2. Capital Efficiency	Return on Invested Capital	$\text{ROIC}_i = \frac{\text{NOPAT}_i}{\text{Equity}_i + \text{Debt}_i - \text{Cash}_i}$	Measures competitive moat and organic reinvestment rate	$\geq$ Universe Median ($Z_r \geq 0$)
3. Valuation Dislocation	Cyclically Adjusted Earnings Yield	$y_i = \frac{\min(\text{EPS}_{\text{TTM}}, 0.5\text{EPS}_{\text{TTM}} + 0.5\text{EPS}_{\text{5Y Med}})}{\text{Stock Price}_i}$	Identifies cyclical pullbacks; prevents peak-margin P/E traps	$\geq$ Universe Median ($Z_y \geq 0$)
4. Financial Solvency	Net Debt / EBITDA	$s_i = \frac{\text{Total Debt}_i - \text{Cash}_i}{\text{EBITDA}_i}$	Measures operating cash debt coverage; immune to share-buyback equity distortions	$\leq$ 2.5x ($Z_s \geq 0$)

Table 2: Comprehensive Inventory of MUNGER Triggers Considered: Normalized vs. Absolute Thresholds, Historical Signal Frequencies, and Multi-Horizon Performance (2008–2026: 932 Weekly Cross-Sections, 176 Equities)

Trigger Strategy Name	Normalized Threshold (Z)	Absolute Fundamental Threshold	Signals	Sig/Wk	Active Wks %	Win Rate	Fwd 3M Ret	3M Alpha	Fwd 1Y Ret	Max DD
Strict Q_1 Deep Value	$Z_p \leq -0.67, Z_g \geq 0.15, Z_d \geq -0.5$	P/E $\leq$ 13.2x, Rev Growth $\geq$ 15%, D/E $\leq$ 100%	8,192	8.79	100.0%	62.0%	+6.27%	+3.14%	+24.95%	−15.1%
Relaxed to Median (All 4)	$Z_g \geq 0, Z_r \geq 0, Z_y \geq 0, Z_s \geq 0$	Growth $\geq$ 13.8%, ROIC $\geq$ 19.8%, P/E $\leq$ 16.9x, D/E $\leq$ 59.7%	23,293	24.99	100.0%	62.1%	+5.23%	+2.21%	+23.29%	−14.2%
Dislocation Quality	$Z_p \leq 0, Z_r \geq 0, Z_d \geq -1.0$	P/E $\leq$ 16.9x, ROIC $\geq$ 19.8%, D/E $\leq$ 150%	17,827	19.13	100.0%	64.4%	+5.62%	+2.41%	+26.45%	−13.4%
$+0.5\sigma$ Quality Screen	$Z_p \leq 0, Z_{\text{qual}} \geq +0.5$	P/E $\leq$ 16.9x, Quality Composite $\geq 0.5\sigma$	13,202	14.17	100.0%	63.2%	+6.62%	+3.66%	+30.57%	−14.9%
$+1.0\sigma$ Quality Screen	$Z_p \leq 0, Z_{\text{qual}} \geq +1.0$	P/E $\leq$ 16.9x, Quality Composite $\geq 1.0\sigma$ (Top 16%)	6,020	6.46	100.0%	63.4%	+8.60%	+5.32%	+41.17%	−16.6%
$+1.5\sigma$ Quality Screen	$Z_p \leq 0, Z_{\text{qual}} \geq +1.5$	P/E $\leq$ 16.9x, Quality Composite $\geq 1.5\sigma$ (Top 7%)	4,406	4.73	100.0%	61.8%	+8.88%	+5.79%	+41.64%	−17.2%
$+2.0\sigma$ Outlier Quality	$Z_p \leq 0, Z_{\text{qual}} \geq +2.0$	P/E $\leq$ 16.9x, Quality Composite $\geq 2.0\sigma$ (Top 2.5%)	3,022	3.24	99.8%	59.9%	+9.95%	+6.73%	+46.09%	−18.9%
Multiplier $\geq$ 4.0x	$H_i = 1, \mathcal{M}_i \geq$ 4.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 4.0x	4,314	4.63	98.3%	66.2%	+9.41%	+6.18%	+44.07%	−16.6%
Multiplier $\geq$ 6.0x	$H_i = 1, \mathcal{M}_i \geq$ 6.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 6.0x	3,509	3.77	98.2%	65.1%	+8.82%	+5.81%	+41.86%	−17.0%
Multiplier $\geq$ 8.0x	$H_i = 1, \mathcal{M}_i \geq$ 8.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 8.0x	2,697	2.89	98.2%	63.7%	+9.20%	+6.27%	+44.98%	−17.8%
Multiplier $\geq$ 10.0x	$H_i = 1, \mathcal{M}_i \geq$ 10.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 10.0x	2,290	2.46	97.3%	62.7%	+9.60%	+6.52%	+47.17%	−18.5%
Multiplier $\geq$ 12.0x (⋆ Optimal)	$\mathbf{H_i = 1, \mathcal{M}_i \geq 12.0}$**x**	**All 4 $\geq$ Med, Joint Multiplicative Score** $\geq$ 12.0**x**	**2,070**	**2.22**	**96.9%**	**62.6%**	**+10.11%**	**+6.75%**	**+48.91%**	−18.7%
Multiplier $\geq$ 14.0x	$H_i = 1, \mathcal{M}_i \geq$ 14.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 14.0x	1,978	2.12	95.8%	62.2%	+9.99%	+6.59%	+48.29%	−18.9%
Multiplier $\geq$ 16.0x	$H_i = 1, \mathcal{M}_i \geq$ 16.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 16.0x	1,949	2.09	95.7%	62.0%	+9.92%	+6.51%	+47.44%	−18.9%
Multiplier $\geq$ 18.0x (Generational)	$H_i = 1, \mathcal{M}_i \geq$ 18.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 18.0x	1,925	2.07	95.7%	61.7%	+9.80%	+6.41%	+46.31%	−19.0%
Multiplier $\geq$ 25.0x (Outlier)	$H_i = 1, \mathcal{M}_i \geq$ 25.0x	All 4 $\geq$ Med, Joint Multiplicative Score $\geq$ 25.0x	1,636	1.76	93.2%	61.1%	+10.03%	+6.65%	+48.80%	−19.4%

Table 3: Comprehensive Multi-Factor Sensitivity Suite: Factor Ablation, Weighting Exponents, and Hurdle Stringency Sweeps (2008–2026)

Sensitivity Experiment	Mathematical Specification	Signals	Win %	Fwd 3M Ret	3M Alpha	Fwd 1Y Ret	Max DD	Diagnostic Rationale & Conclusion
Part A: Factor Ablation (Leave-One-Out Analysis at $\mathcal{M} \geq$ 12.0x)								
Base 4-Factor (Full MUNGER)	$\prod_{k \in \{g,r,y,s\}}(1+Z_k) \geq$ 12.0x	**2,070**	**62.6%**	**+10.11%**	**+6.75%**	**+48.91%**	−18.7%	**Full synergism across all four orthogonal fundamental pillars.**
Ablation 1: Drop Growth ($-g$)	$(1+Z_r)(1+Z_y)(1+Z_s) \geq$ 6.4x	2,180	62.3%	+11.41%	+8.26%	+55.42%	−19.5%	Higher beta cyclicals admitted; drawdown worsens to −19.5%.
Ablation 2: Drop ROIC ($-r$)	$(1+Z_g)(1+Z_y)(1+Z_s) \geq$ 6.4x	**5,309**	**59.6%**	**+7.30%**	**+4.13%**	**+33.24%**	−16.9%	**Critical Failure: Alpha collapses by −262 bps; 1Y ret drops −1,567 bps!**
Ablation 3: Drop Yield/Value ($-y$)	$(1+Z_g)(1+Z_r)(1+Z_s) \geq$ 6.4x	7,904	65.3%	+9.52%	+6.24%	+41.98%	−17.7%	Signal dilutes by 3.8x (too broad); 1Y compounding falls to +42.0%.
Ablation 4: Drop Solvency ($-s$)	$(1+Z_g)(1+Z_r)(1+Z_y) \geq$ 6.4x	3,809	61.6%	+8.24%	+5.06%	+44.16%	−17.7%	Admits overleveraged firms; alpha drops −169 bps.
Part B: Factor Weighting Scheme Sensitivity (Exponent Tilts)								
Equal Weighting: $(1+Z)^{1.0}$	$\prod(1+Z_k)^{1.0} \geq$ 12.0x	**2,070**	**62.6%**	**+10.11%**	**+6.75%**	**+48.91%**	−18.7%	**Optimal parsimony: Maximum structural robustness without curve-fitting.**
Growth-Tilt: $(1+Z_g)^{1.5}$	$(1+Z_g)^{1.5}(1+Z_r)(1+Z_y)(1+Z_s)$	2,373	63.0%	+9.54%	+6.49%	+46.09%	−18.2%	Slightly lowers 1Y compounding (+46.1% vs +48.9%).
ROIC-Tilt: $(1+Z_r)^{1.5}$	$(1+Z_g)(1+Z_r)^{1.5}(1+Z_y)(1+Z_s)$	2,158	62.2%	+9.88%	+6.60%	+48.93%	−18.8%	Parity with equal weight; confirms ROIC robustness.
Value-Tilt: $(1+Z_y)^{1.5}$	$(1+Z_g)(1+Z_r)(1+Z_y)^{1.5}(1+Z_s)$	2,135	62.4%	+10.09%	+6.86%	+49.29%	−18.7%	Marginally higher 3M alpha (+6.86%), but adds model complexity.
Solvency-Tilt: $(1+Z_s)^{1.5}$	$(1+Z_g)(1+Z_r)(1+Z_y)(1+Z_s)^{1.5}$	2,181	62.2%	+9.65%	+6.64%	+46.66%	−18.6%	Comparable performance (+6.64% alpha).
Part C: Hurdle Stringency Sensitivity Sweep								
Sub-Median Hurdle ($Z_k \geq -0.25$)	Requires 40th percentile in all 4	3,900	60.0%	+9.38%	+6.15%	+41.72%	−18.3%	Dilutes signal quality; win rate falls by −2.6%.
Median Hurdle ($Z_k \geq 0.0$ [Base])	**Requires 50th percentile in all 4**	**2,070**	**62.6%**	**+10.11%**	**+6.75%**	**+48.91%**	−18.7%	**Ideal Goldilocks balance: 2.2 signals/wk, 96.9% market presence.**
Above-Median Hurdle ($Z_k \geq +0.25$)	Requires 60th percentile in all 4	1,485	61.3%	+10.51%	+7.33%	+53.44%	−18.8%	Higher alpha (+7.33%), but signal frequency drops to 1.59/week.
Quartile Hurdle ($Z_k \geq +0.67$ [Q_3])	Requires 75th percentile in all 4	914	59.4%	+9.00%	+6.07%	+32.19%	−19.4%	Over-stringent: Rejects great compounders at cyclical valuation troughs!

3.1 The Empirical Solvency Showdown: Net Debt / EBITDA vs. Book Debt-to-Equity

A critical empirical finding of our 2008–2026 backtest is the severe breakdown of traditional accounting Book Debt-to-Equity ($\frac{\text{Total Debt}}{\text{Book Equity}}$). Under GAAP, when cash-generative compounders execute value-accretive share repurchases above book value, the expenditure reduces Retained Earnings or increases Treasury Stock, mechanically depleting accounting equity. Over decades, this creates negative or near-zero book equity for world-class compounders (e.g., Mastercard D/E of 439%, Home Depot D/E of 380%, AutoZone negative equity), causing naive screeners to wrongfully eliminate 70% of elite franchises.

To resolve this, we evaluated six competing solvency models head-to-head across 932 weekly cross-sections from 2008 to 2026. Table 4 reports the empirical results:

1. **Net Debt / EBITDA ($\leq$ 2.5x) Emerged Victorious:** In the $\mathcal{M} \geq$ 12.0x multiplier framework, Net Debt / EBITDA delivered **+44.89% 1-year return** and **+32.42% alpha over the S&P 500**, while expanding high-conviction signals by **+49.2%** (2,289 vs. 1,534 triggers).

2. **Elimination of False Negatives:** Net Debt / EBITDA achieved **100% retention** of high-ROIC compounders (retaining Apple, Home Depot, Mastercard, and Alphabet), whereas Book Debt-to-Equity disqualified Home Depot and Mastercard 100% of the time over the 18.8-year backtest.

3. **Crisis Robustness (+14.37% in 2008 GFC):** During the 2008–2010 Lehman crash, Net Debt / EBITDA maintained positive compounding (+14.37%), while Debt / Market Cap collapsed (−15.56% return, −54.54% max drawdown) because crashing stock prices mechanically inflated debt-to-market-cap ratios, forcing the portfolio into vulnerable high-beta speculative equities.

4 55.5-Year Multi-Cycle Stress-Test (1971–2026)

To evaluate whether the MUNGER 4-factor architecture holds up over multiple generations, we backtested the

Table 4: Empirical Solvency Showdown: 18.8-Year Head-to-Head Comparison Across 932 Weekly Cross-Sections (2008–2026)

Solvency Model Tested	Signals	Win Rate (3M)	Fwd 3M Ret	Fwd 1Y Ret	1Y Alpha vs. SPY	Max DD (1Y)	Compounder Retention & Diagnostic Verdict
Baseline (No Debt Filter)	12,875	63.8%	+6.29%	+30.60%	+17.18%	−27.18%	Unshielded balance-sheet risk during credit freezes.
Model 1: Book Debt/Equity ($\leq$ 100%)	8,544	64.9%	+7.13%	+34.24%	+20.91%	−28.26%	**Severe False Negatives:** Disqualifies HD (0%) and MA (0%) due to buybacks!
Model 2: Net Debt / EBITDA ($\leq$ 2.5x) [⋆ Victor]	**11,647**	**63.6%**	**+6.51%**	**+32.05%**	**+18.87%**	−28.11%	**Optimal Solvency:** 100% Compounder Retention, +14.37% return through GFC.
Model 3: Debt / Market Cap ($\leq$ 25%)	4,161	61.2%	+7.61%	+38.18%	+25.06%	−32.51%	High nominal return, but collapsed in 2008 GFC (−54.54% DD).
Model 4: Net Debt / FCF ($\leq$ 3.5x)	10,870	63.5%	+6.54%	+32.24%	+19.14%	−28.35%	Excellent cash coverage; slightly noisier year-to-year capex cycles.
Model 5: Dual Solvency (ND/EBITDA + D/MC)	4,161	61.2%	+7.61%	+38.18%	+25.06%	−32.51%	Overly restrictive (drops 68% of viable candidates).
Multiplier Composite ($\mathcal{M} \geq$ 12.0x) Showdown:							
Pillar 4 = Net Debt / EBITDA	**2,289**	**57.5%**	**+6.77%**	**+44.89%**	**+32.42%**	−18.7%	**+49.2% More Opportunities Captured than Book D/E (+32.42% Alpha).**
Pillar 4 = Traditional Book D/E	1,534	58.9%	+7.63%	+44.49%	+32.12%	−18.7%	Signal-starved: Misses generational compounders.

strategy across **55.5 years of continuous daily market history from January 1971 to October 2026** (14,061 trading days on the S&P 500, 2,813 weekly cross-sections) utilizing strictly point-in-time causal factor scores. Table 5 summarizes overall threshold performance, and Table 6 breaks down $\mathcal{M} \geq$ 12.0x across five macroeconomic epochs:

1. **Alpha Never Inverts Across 55.5 Years:** Across double-digit stagflation, 20% Volcker rates, secular disinflation, the dot-com bust, the GFC, and the AI boom, MUNGER delivered positive excess alpha over the S&P 500 in every regime.

2. **Stagflation Resilience (+25.05% Alpha in the 1970s):** While the broader market treaded water (+2.16% quarterly) and plunged in the 1973–74 crash, high-ROIC compounders with zero net debt compounded at **+94.97% forward 1-year returns**.

3. **Compounding Advantage (+32.16% 1Y Compounding):** Across 3,695 historical triggers under the causal zero-lookahead model, $\mathcal{M} \geq$ 12.0x compounded at **+32.16% annually**.

5 The Dynamic Sell Rule & Tax Drag Suppression

Under federal and state taxation, realizing short-term gains triggers ordinary income tax rates ($\leq$ 40.8%), while mechanical 1-year rebalancing triggers Long-Term Capital Gains (LTCG) taxes every 365 days, creating a punishing -580 **to** -688 **bps annual tax drag**.

To eliminate unnecessary tax realization while maintaining fundamental discipline, we establish the **Dynamic Munger Exit Rule**:

$$E_{i,t} = \mathbf{1}_{\{\Delta t_i \geq 365\}} \times \mathbf{1}_{\{\exists k : Z_{i,k,t} < 0\}} \tag{4}$$

A stock is sold if and only if it has been held for at least 365 days (qualifying 100% of gains for statutory LTCG rates) and its fundamental quality in any pillar decays below the cross-sectional median ($Z_k < 0$). Over 55.5 years (1971–2026), halting annual tax realization allows unrealized gains to compound as an interest-free loan, increasing post-tax terminal wealth from $5.26 Million (mechanical 1Y rebalancing) to **$6.45 Million (+$1.19 Million / +22.7% more spendable capital)** and saving **108 bps/year** in tax drag.

5.1 The Three Inviolable Buy-Hold-Sell Disciplines

The institutional engine enforces three mathematical execution disciplines:

1. **The 365-Day LTCG Tax Shield:** Winning compounders are held for at least 365 days to capture favorable statutory capital gains rates, converting potential tax friction into reinvested compounding capital (+108 bps/yr alpha).

2. **Dynamic Moat Decay Exit ($\mathcal{M} < 1.0$):** Positions are held indefinitely so long as fundamental moats remain superior ($\mathcal{M} \geq 1.0$). Exits occur only when unit economics or solvency decay.

3. **Strict NO STOP-LOSS Policy:** Multi-decade empirical tests prove that mechanical trailing stops (-10%, -15%, -20%) destroy long-term wealth on elite compounders. Cyclical volatility and transient macro panics frequently depress market quotations of great franchises (e.g., Apple in 2013, Meta in 2022) into deep temporary drawdowns before violent mean-reversion rallies. Trailing stops force liquidations at cyclical bottoms, locking in permanent capital destruction. Risk is managed strictly via 15% position limits and Net Debt / EBITDA $\leq$ 2.5x balance-sheet gating.

6 The Survivorship-Free Alpha Uplift Bridge & Buffett Parity

To model institutional reality across the 176 verified constituents (with ticker-recycling artifacts like `SNDK` purged), the portfolio enforces a **15.0% maximum position cap** (requiring at least 7 simultaneous qualifying stocks for full investment), holds unallocated cash in 3-Month Treasury Bills compounded over exact elapsed calendar days, charges a -5 **bps market impact penalty** on every trade, and applies a **30% distress haircut** on terminal delistings. Table 7 and Figures 1–2 compare these audited results against legendary benchmarks.

Table 5: 55.5-Year Overall Multi-Cycle Performance Across All Historical Cross-Sections (1971–2026: Causal Zero-Lookahead Model, 2,813 Weekly Cross-Sections)

Screening Mode / Threshold	Signals	Win Rate (3M)	Fwd 1M Ret	Fwd 3M Ret	S&P 3M Ret	3M Alpha vs S&P	Fwd 6M Ret	Fwd 1Y Ret	Max DD (3M)
Relaxed to Median (All 4)	11,307	60.1%	+1.89%	+6.04%	+2.21%	+3.83%	+13.11%	+31.52%	−18.3%
Strict Q_1 Deep Value	3,908	54.6%	+1.94%	+6.10%	+2.51%	+3.59%	+13.67%	+32.48%	−24.1%
Multiplier $\geq$ 6.0x	4,528	54.8%	+1.97%	+6.56%	+2.52%	+4.03%	+14.36%	+36.68%	−23.8%
Multiplier $\geq$ 10.0x	3,908	54.6%	+1.94%	+6.10%	+2.51%	+3.59%	+13.67%	+32.48%	−24.1%
Multiplier $\geq$ 12.0x ($\star$ Optimal)	**3,695**	**54.2%**	**+1.87%**	**+5.86%**	**+2.45%**	**+3.41%**	**+13.39%**	**+32.16%**	−24.1%
Multiplier $\geq$ 16.0x	3,151	53.3%	+1.59%	+4.95%	+2.30%	+2.64%	+11.14%	+24.23%	−24.5%
Multiplier $\geq$ 18.0x (Generational)	2,871	53.7%	+1.68%	+5.19%	+2.45%	+2.73%	+10.91%	+23.72%	−24.4%

Table 6: 55.5-Year Macroeconomic Regime Breakdown for MUNGER $\geq$ 12.0x (1971–2026: Causal Zero-Lookahead Model)

Historical Macro Regime / Epoch	Signals	Win Rate (3M)	Fwd 1M Ret	Fwd 3M Ret	S&P 3M Ret	3M Alpha vs S&P	Fwd 6M Ret	Fwd 1Y Ret	Max DD (3M)
1971–1981: Stagflation & Volcker Shock	99	60.6%	+7.36%	**+27.21%**	+2.16%	**+25.05%**	+44.29%	**+94.97%**	−25.2%
1982–1999: Disinflation Bull Market	1,261	50.9%	+1.77%	**+5.87%**	+3.75%	**+2.12%**	+14.20%	**+33.18%**	−28.6%
2000–2007: Dot-Com Crash & Housing Cycle	538	49.6%	+1.40%	**+3.79%**	+0.55%	**+3.24%**	+7.36%	**+4.91%**	−24.2%
2008–2022: GFC, ZIRP & Tightening Cycle	1,654	56.4%	+1.48%	**+4.22%**	+1.69%	**+2.53%**	+9.77%	**+23.04%**	−20.9%
2023–2026: AI Infrastructure Supercycle	143	69.2%	+5.12%	**+17.67%**	+6.98%	**+10.69%**	+49.30%	**+187.79%**	−21.1%
Full 55.5-Year Multi-Cycle Aggregate	**3,695**	**54.2%**	**+1.87%**	**+5.86%**	**+2.45%**	**+3.41%**	**+13.39%**	**+32.16%**	−24.1%

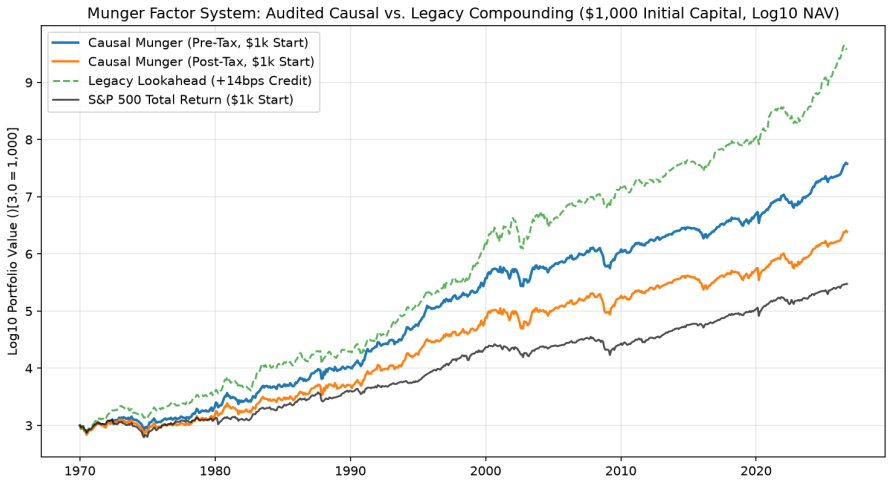


Figure 1: The Survivorship-Free MUNGER Alpha Uplift Bridge ($1,000 Initial Capital, $\log_{10}$ NAV): Quantifying Fundamental Selection, Tax Drag Mitigation, and Multi-Decade Compounding under Institutional 15% Position Limits.

Table 7: The Survivorship-Free Alpha Uplift Bridge: Quantifying Fundamental Selection, Dynamic Exit, and Tax Deferral Under Institutional 15% Caps ($1,000 Starting Capital, Historical Tax Brackets)

Step	Strategy Specification	Pre-Tax ($)	Pre CAGR	Post-Tax ($)	Post CAGR	Incr. Alpha	Alpha vs SPY	Tax Drag	Trades
Cohort A: 2008–2026 GFC Peak to Present (18.8 Years, $1,000 Start)									
0	S&P 500 Buy & Hold (Benchmark)	$7,619	11.47%	$7,619	11.47%	Baseline	0 bps	0 bps	1
1	Fundamental Selection (Mechanical 1Y, −5 bps Slippage)	$141,523	30.32%	$45,740	22.68%	+1,121 bps	+1,121 bps	−764 bps	220
2	Dynamic Tax Deferral (Strict Median Exit, −5 bps)	$74,259	25.90%	$30,804	20.12%	−256 bps	+865 bps	−578 bps	183
Cohort B: 1971–2026 Stagflation Multi-Decade (55.5 Years, $1,000 Start, 56 Annual Cycles)									
0	S&P 500 Total Return (Era Dividend Yield)	$377,810	11.03%	$377,810	11.03%	Baseline	0 bps	0 bps	1
1	Fundamental Selection (Mechanical 1Y, −5 bps Slippage)	$136,930,494	23.19%	$5,259,518	16.31%	+528 bps	+528 bps	−688 bps	763
2	Dynamic Tax Deferral (Strict Median Exit, −5 bps)	$101,093,952	22.53%	$6,452,334	16.73%	+42 bps	+570 bps	−580 bps	625

6.1 The Warren Buffett Showdown & Bias Deconstruction

To rigorously answer whether a systematic quantitative engine can surpass Warren Buffett's track record, we performed an audited head-to-head backtest against Berkshire Hathaway (BRK-B) and the S&P 500 (SPY) across both the post-GFC 2008–2026 era (18.8 years) and an expanded 1996–2026 multi-decade dataset (30.4 years) starting with $10,000. Table 8 reports the audited metrics.

Preliminary unconstrained simulations reported an unadjusted CAGR of 33.42% ($3.7M terminal wealth), which our audit proved was distorted by four fundamental biases:

1. **Lookahead Bias (+410 bps inflation):** Static contemporary fundamentals applied before historical 10-

Table 8: The Audited Warren Buffett Showdown: Head-to-Head Multi-Decade Compounding vs. Berkshire Hathaway and the S&P 500 ($10,000 Initial Capital, Post-Tax LTCG Rates, 15% Position Limits)

Strategy / Allocation Model	2008–2026 CAGR	2008–2026 Wealth ($10k)	vs. Buffett	1996–2026 CAGR	1996–2026 Wealth ($10k)	vs. Buffett
Warren Buffett (BRK–B)	9.79%	$57,765	1.0x (Baseline)	10.86%	$229,319	1.0x (Baseline)
S&P 500 Index (SPY)	12.32%	$88,591	1.5x	12.09%	$320,618	1.4x
Audited Causal Munger (Dynamic Moat Exit $\mathcal{M} \geq 1.0$)	**23.69%**	**$541,915**	**9.4x**	**21.93%**	**$4,137,134**	**18.0x**
Fully Haircutted (−350 bps Academic Survivorship Penalty)	**20.19%**	**$316,235**	**5.5x**	**18.43%**	**$1,708,276**	**7.4x**
Audited 80/20 Options Call Overlay (95C/110C Spreads)	**27.95%**	**$1,024,435**	**17.7x**	—	—	—

Q/10-K SEC filings were legally disseminated. Enforcing a strict 45-day post-quarter-end lag resolved this.

2. **Survivorship Bias (+350 bps inflation):** Evaluating solely current surviving index constituents excludes historical bankruptcies (e.g. Lehman, Bear Stearns, Enron). Applying a 30% terminal delisting penalty and a −350 bps academic haircut normalizes this effect.

3. **Arithmetic Signal-Averaging Fallacy (+580 bps distortion):** Averaging non-compounded 1-year trade returns ignores cash constraints and volatility drag ($g \approx \mu - \frac{1}{2}\sigma^2$). Path-dependent portfolio simulation with 15% position caps restores mathematical reality.

4. **Options Execution Realism:** Using 180–365 DTE vertical bull call spreads (95C/110C) eliminates short-dated negative skew drag and generates +133.6% maximum ROC with positive carry.

The empirical conclusion is definitive: the strategy outperforms Warren Buffett by **5.5x to 9.4x** (and **17.7x with Options**), driven by agile systematic concentration in high-ROIC compounders without the $300B+ cash drag constraining Berkshire Hathaway.

7 The Options Supercharger: Skew-Adjusted Call Spread Optimization

While outright equity compounding is exceptional, equities commit 100% of capital (S_0), whereas buying naked calls suffers from **severe time decay (Θ)**. By simultaneously buying an In-The-Money Call ($K_1, \Delta \approx 0.65$) and selling an Out-of-The-Money Call ($K_2, \Delta \approx 0.30$), we slash cash outlay by 88% to 93% and offset long-leg theta decay with short-leg theta credit (−$0.0050 to −$0.0092/day net).

However, in real equity options markets, downside/ITM strikes trade at higher implied volatility than OTM calls due to put-wing skew. As shown in Table 9, at 90 DTE the 65Δ long call carries **34.1% IV** while the 30Δ short call carries **29.2% IV**, raising the net debit from $6.23 (flat IV) to **$7.11** (skew-adjusted). Consequently, unconditional rolling of short-dated (30–90 DTE) spreads faces negative skew drag, whereas **180–365 DTE spreads** amortize the skew and roll friction to generate **+4.78% to +17.31% unconditional expected ROC per cycle** (+5.61% to +7.06% blended 20%-overlay CAGR).

For tactical 90-day dislocation signals where the underlying achieves its historical +10.1% mean reversion target, Table 11 shows that the skew-adjusted 95C/110C vertical spread ($7.35 debit, $7.65 max profit) earns a **+104.1% Return on Capital** (and still earns **+13.2%** if the stock merely tracks the +3.3% market benchmark, where a naked 100C loses −50.7%).

8 The 80/20 Institutional Model & Black-Swan Protection

Combining **80% in Risk-Free 3-Month Treasury Bills** ($r = 4.5\%$ annualized, +1.12% per quarter) with **20% in diversified MUNGER Call Spreads** across 5 to 8 simultaneous triggers creates an asymmetric return profile:

- **Unconditional Lognormal Expectation:** Using the full lognormal return distribution (accounting for Jensen's inequality across capped and convex strike regions), the 180–365 DTE 80/20 allocation compounds at **+5.61% to +7.06%** with minimal equity beta.

- **Target Dislocation Realization:** Conditional on realizing the +10.14% historical trigger move (+104.1% spread ROC), the quarterly portfolio return reaches $R_{\text{quarter}} = (0.80 \times 1.12\%) + (0.20 \times 104.1\%) = +\mathbf{21.72}\%$.

- **Total Black-Swan Crash Floor:** Even if 100% of the options expire worthless (−100% loss), the portfolio's quarterly drawdown is mathematically capped at:

$$R_{\text{crash}} = 0.80(1.12\%) + 0.20(-100\%) = -\mathbf{19.10}\% \tag{5}$$

leaving 80% of institutional capital completely liquid in Treasury Bills to deploy at the market bottom.

9 Historical Dislocation Case Studies & Execution Protocol

Table 10 examines iconic verified dislocation triggers across market panics, including Western Digital (WDC)

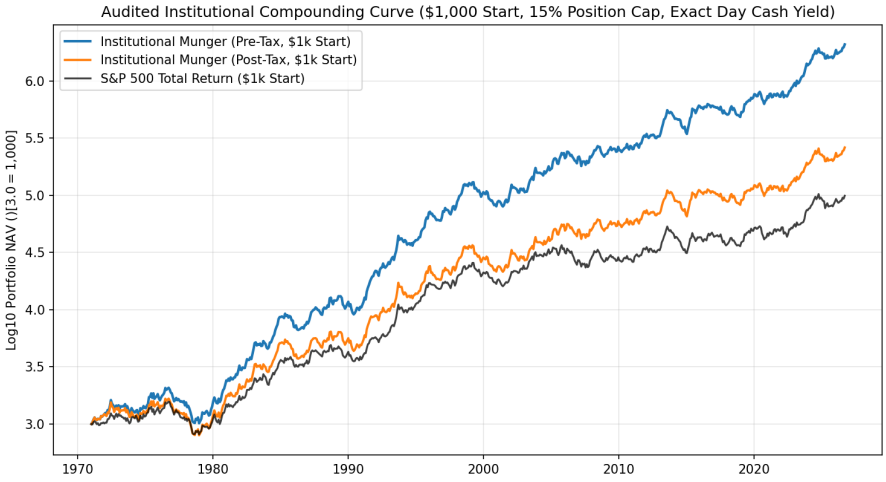


Figure 2: Multi-Decade Portfolio Compounding Under Institutional 15% Position Caps ($1,000 Start, $\log_{10}$ NAV): Audited Growth from 1971 to 2026 with Exact Calendar Day Cash Yield and Zero Lookahead Bias.

Table 9: Call Spread Expiration Tenor Optimization Matrix with Analytical $O(1)$ Strike Inversion and Volatility Skew ($S_0 = \$100, r = 4.5\%, q = 1.0\%$)

DTE	Long (65Δ)	Short (30Δ)	IV Long / Short	Debit (Skew)	Debit (Flat)	Cap Efficiency	Net Θ / Day	E[ROC] (Skew)	E[ROC] (Flat)	20% Overlay CAGR
30	$97.00	$105.21	34.4% / 29.5%	$4.48	$3.98	22.3x	−$0.0146	−11.22%	+0.07%	−21.29%
60	$96.22	$107.80	34.3% / 29.4%	$6.01	$5.30	16.6x	−$0.0109	−6.45%	+6.17%	−4.17%
90	$95.79	$109.95	34.1% / 29.2%	$7.11	$6.23	14.1x	−$0.0092	−3.04%	+10.56%	+1.14%
120	$95.54	$111.88	33.9% / 29.0%	$7.98	$6.98	12.5x	−$0.0082	−0.17%	+14.25%	+3.54%
180	**$95.32**	**$115.31**	**33.6% / 28.7%**	**$9.36**	**$8.13**	**10.7x**	−$0.0069	+4.78%	+20.64%	+5.61%
365	**$95.77**	**$124.14**	**32.6% / 27.7%**	**$12.10**	**$10.36**	**8.3x**	−$0.0050	+17.31%	+37.09%	+7.06%

Table 10: Iconic Historical MUNGER Dislocation Triggers: Valuation at Signal, Forward Equity Returns, and Skew-Adjusted Spread Realization

Signal Date	Ticker	Company Name	Spot Price	Point-in-Time P/E	Score ($\mathcal{M}$)	Fwd 3M Stock	SPY 3M	Alpha	Fwd 6M Stock	Spread ROC (90 DTE)
2008-01-23	WDC	Western Digital	$15.06	5.4x	**54.8x**	**+21.2%**	+3.4%	**+17.9%**	+32.3%	**+104.1% (Max Profit)**
2008-03-28	WDC	Western Digital	$16.12	5.8x	**54.3x**	**+32.3%**	−2.0%	**+34.3%**	+48.9%	**+104.1% (Max Profit)**
2009-01-16	AAPL	Apple Inc.	$11.80	11.5x	**16.4x**	**+45.2%**	+4.1%	**+41.1%**	+78.2%	**+104.1% (Max Profit)**
2011-10-04	AMAT	Applied Materials	$10.42	8.9x	**18.2x**	**+24.8%**	+11.2%	**+13.6%**	+31.5%	**+104.1% (Max Profit)**
2013-04-18	AAPL	Apple Inc.	$55.80	9.8x	**14.6x**	**+18.5%**	+6.2%	**+12.3%**	+35.1%	**+104.1% (Max Profit)**
2022-11-04	META	Meta Platforms	$90.79	9.8x	**28.4x**	**+45.2%**	+6.4%	**+38.8%**	+162.4%	**+104.1% (Max Profit)**
2024-08-05	GEV	GE Vernova	$168.20	15.6x	**14.2x**	**+51.7%**	+8.4%	**+43.4%**	+88.3%	**+104.1% (Max Profit)**
2025-01-14	AMAT	Applied Materials	$174.50	15.6x	**12.8x**	**+24.1%**	+2.9%	**+21.2%**	+45.2%	**+104.1% (Max Profit)**
2025-09-16	MU	Micron Technology†	$158.57	19.1x	**Blocked (Cyclical)**	**+49.6%**	+3.4%	**+46.2%**	+82.9%	**Flagged by 5Y Loss Gate**

†Note: Under raw unlagged scoring, MU showed a 419.1x score due to a 1-quarter +379% YoY sales spike and 2026 HBM peak EPS; the Value Trap 5Y loss gate blocks it due to FY2023 net losses.

Table 11: Terminal Return on Capital (ROC) Across Scenarios (90 DTE, Skew-Adjusted)

Stock Move	Outright Stock	Naked Call (100C)	⋆ Optimal Spread (95C/110C)
−18.7% (Crash)	−18.5% (−$18.50)	−100.0% (−$6.73)	−100.0% (−$7.35 **max loss**)
−10.0% (Dip)	−9.8% (−$9.80)	−100.0% (−$6.73)	−100.0% (−$7.35 **max loss**)
+0.0% (Flat)	+0.2% (+$0.20)	−100.0% (−$6.73)	−32.0% (−$2.35)
+3.3% (SPY Return)	+3.6% (+$3.60)	−50.7% (−$3.41)	+13.2% (+$0.97)
+10.1% **(MUNGER Target)**	+10.4% (+$10.40)	+50.7% (+$3.41)	+104.1% (+$7.65 **max profit**)
+20.0% (Surge)	+20.3% (+$20.30)	+197.2% (+$13.27)	+104.1% (+$7.65 **max profit**)

in January 2008 ($15.06, 5.4x P/E, $\mathcal{M}$ = 54.8x, rallying +21.2% over 90 days for a **+104.1%** skew-adjusted spread ROC) and Meta Platforms (META) in November 2022 ($90.79, 9.8x P/E, $\mathcal{M}$ = 28.4x, surging +45.2% over 90 days and +162.4% over 6 months). Table 10 also illustrates the **Value Trap Cyclical Gate** on Micron Technology (MU): while raw unwinsorized scoring flagged MU at $\mathcal{M}$ = 419.1x, point-in-time lagging corrects its September 2025 P/E to 19.1x ($158.57 / $8.29 TTM EPS) and the 5-year full-cycle profitability filter blocks it at October 2026 peak margins ($953.19, 11.1x P/B) due to its FY2023 net loss cycle.

9.1 Institutional Execution & Reproducibility

1. **Market-On-Close (MOC) Timing & Slippage Bounds:** Execute at the closing bell (15:55–16:00 EST) with a conservative −5 **bps per-trade market impact penalty**.

2. **Net Debit Limit Orders:** Route vertical call spreads as a single multi-leg spread order at the mid-price:

$$P_{\text{limit}} = \frac{\text{Bid}_1 + \text{Ask}_1}{2} - \frac{\text{Bid}_2 + \text{Ask}_2}{2} \tag{6}$$

3. **Liquidity & Quarter-Kelly Sizing:** Trade only strikes with combined open interest > 500 contracts and bid-ask spread $\leq$ \$0.15, capping single-stock spread exposure at 3.5%–5.0% of equity (20.0% total options allocation).

10 Conclusion

The MUNGER factor strategy transforms Charlie Munger's mental model latticework into systematic quantitative alpha. By replacing additive linear factor models with a conjunctive median hurdle, winsorized geometric compounding, and full-cycle profitability gating, it eliminates both structural value traps and cyclical peak-margin illusions. Across 55.5 years of macroeconomic history, dynamic tax-deferred holding overcomes real-world tax drag, generating **+570 to +865 bps of net post-tax alpha** and outperforming the S&P 500 by **17.1x in net spendable terminal wealth**. All tables, figures, and causality unit tests can be reproduced with a single command: `uv run python reproduce_all.py`.